



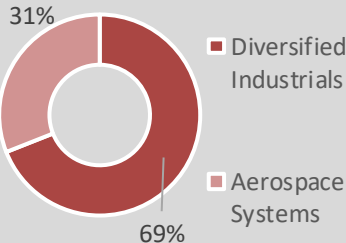
RECOMMENDATION: Underweight

Current Price	\$908.39
52-Week Range	\$488 - \$931
Target Price	\$767.54
Benchmark Alpha	MSCI World -29.05%

FINANCIALS (FY2025)

Revenue	\$19.9B
Revenue Growth	-0.4%
EBITDA	\$5.2B
Net Income	\$3.5B
AFFO	\$1.35B
Gross Profit Margin	56.2%

REVENUE SEGMENTATION



COMPANY DESCRIPTION

Parker-Hannifin (PH) is a global Fortune 250 leader in motion and control technologies, specializing in highly engineered solutions that enable precise movement and fluid control. It operates a highly diversified B2B business model serving over 464,000 customers across virtually every major industrial, mobile, and aerospace market. In Nov 2025, it announced its latest acquisition, buying Filtration Group

Industrial	Aerospace Systems
Industries served: - Construction, Agriculture, Mining - In-plant industrial equipment - Energy & Transportation Products: - Hydraulic & pneumatic systems - Advanced motion controllers for EV and hybrid vehicle OEMs	Industries served: - Commercial & military aircrafts - Major OEMs like Boeing & Airbus Products: - Flight control equipment - Hydraulic/fuel equipment - Engine components + High margin non-cyclical “Aftermarket” revenue

INDUSTRY OVERVIEW

Diversified Industrial	Aerospace Systems
80% of manufacturers plan to invest 20% or more in smart manufacturing initiatives - Capital spending pause “Stable to sluggish” prospect for industrial markets except data centers due to high interest rates & macroeconomic uncertainty - Agriculture machinery sales dropping, exacerbated by low commodity prices - Construction OEMs actively destocking inventory	- Hitting peak growth - Stable U.S. and international defense budgets - Strength in commercial aviation aftermarket - Decelerating passenger traffic: growth of only 4.9% in 2026, lower than 2025’s pace - North American traffic even lagging further, with growth expected to be just 1.5% - Production stalls: Airbus trimmed its delivery guidance for 2025 while Boeing 777X have pushed deliveries from 2026 to 2027

Parker-Hannifin faces a fragmented competitive environment, with no company offering the full suite of products like PH, but it has specialized competitors in different industries

BUSINESS MOAT ANALYSIS / INVESTMENT THESIS

1. Macro-cyclical vulnerability

Despite management’s portfolio transition narrative, PH remains deeply exposed to the Industrials industry for most of its revenue, and therefore the cooling global industrial cycle.

- Outside data center demand, high interest rates & macro uncertainty have triggered a broad pause in capital investment for in-plant and industrial equipment, which is expected to remain till at least the first half of 2026
- Farmer outlook remains cautious due to declining commodity prices and rising carryovers, leading to weak capital investment plans
- Construction OEMs actively destocking and implementing production shutdowns

Thus, the high exposure to the cyclical nature of this industry does not support a huge premium valuation for PH, as currently the market is pricing in a decent growth in this segment

2. Over-reliance on Aerospace division

Aerospace is currently acting as the primary growth engine for PH, creating an unbalanced risk profile where any segment shock would be catastrophic to earnings.

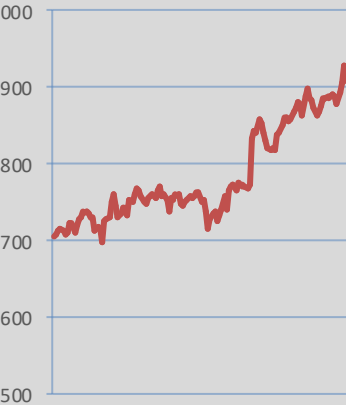
- Slowing global and North American air traffic growth, as mentioned in industry analysis, will disproportionately hit PH’s highest-margin aftermarket (MRO) services, while the market is relying on aftermarket revenues to increase margins and lower cyclicity exposure
- Although PH has a record backlog of \$7.4bn, the supply chain constraints in major OEMs like Boeing and Airbus and the delivery shortfalls are preventing PH from realizing its backlog, slowing revenue



MORE DETAILS

Headquarters	Cleveland, Ohio
Founded year	1917
Employees	58,000
Market Cap	\$115B
EPS	\$27.12
P/E Ratio	32.36

STOCK PRICE PAST 6 MONTHS



RECENT ACQUISITIONS

Target	Size	Year
Filtration Group	\$9.3 B	Nov 2025
Curtis Instruments	\$1.0 B	Sep 2025
Meggitt	\$8.8 B	2022

The stock’s valuation is extremely fragile to any shock in this single Aerospace segment. The market expects a high growth in aftermarket sales driving margin expansion and less reliance cyclical industries, but **cracks exist**, and so continuation of any risk could greatly dent the extremely high expectations.

3. Priced for perfection – Ignoring execution friction

The primary technical justification for the Underweight rating is the extreme disconnect between PH’s valuation and the moves it needs to make to meet those expectations. The current price reflects flawless execution and leaves very little margin of safety if growth moderates

- a) Massive deals like \$9.25 billion Filtration Group carry high integration risk
- b) Any failure to realize projected cost synergies or a cultural misalignment within the fragile decentralized structure could immediately lead to an earnings miss

While PH has a proven system, the market is currently pricing in **perfect execution** of the largest deal in the company’s history at a time when the core industrial business is slowing.

I believe these risks are too great for any minimal further gains, and the positive dynamics have already been factored in given the stock’s momentum over past few months, without much room for further rise.

RISKS & CATALYSTS

RISKS & MITIGANTS

- 1. Rapid aircraft OEM production resolution:** Boeing & Airbus resolve their certification and supply chain bottlenecks faster than expected.
 - a. **Mitigant:** Total delivery shortfall now >5000 aircrafts, and certification for 777X model already pushed to 2027, making a sudden 2026 resolution unlikely.
- 2. Pro-growth global fiscal stimulus:** Surge in fiscal policy support could ignite a faster-than-expected recovery in global industrial capital spending.
 - a. **Mitigant:** Persistent scarcity geopolitics and high interest rates are suppressing, or at least not fuelling, business sentiment.
- 3. AI Infrastructure hyper-cycle:** Surge in spending for data centers beyond estimates could provide an unexpected windfall for PH’s specialized solutions.
 - a. **Mitigant:** This specialized **thermal management and cooling** solutions revenue remains a small fraction of total Diversified Industrial revenue

CATALYSTS

1. International Air Traffic Association’s updated 2026 data is released in June, which will confirm whether air traffic growth is slowing. Since PH’s record margins are masked by aftermarket strength, if air traffic slows then investors could fear a “margin peak”, pulling away from PH.
2. US Supreme Court upholding the broad presidential tariffs would create “permanent uncertainty”. Market will price in higher compliance costs & border friction combined with lower demand from OEMs.

VALUATION

Using DCF and Comps, I arrive at a target price of \$767.14 (-16% upside). DCF (-51% upside) was weight just 10% since it doesn’t fully reflect the current growing momentum of Parker-Hannifin, including its trend of acquisitions and business strategies. P/E ratio yielded highest upside of -0.57%, and received 40% weight to better capture of cost diligence and Capex impacts, which is ignored by EV multiples.

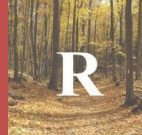
When doing comparable analysis to MSCI World Industrials index (Appendix I), we learn that PH is trading at a huge premium multiple with P/E of 32.36, while the broader index is at a P/E of 25.42. The difference gets even greater when we compare the Forward P/E.

Given this premium, I don’t believe there is much room for growth in the stock and that it is priced for almost perfect execution and macroeconomic environment. Therefore, it will yield lower returns than the benchmark MSCI World Index in the next 12 months, and my expected alpha from Parker-Hannifin is -29.05%, which is why I give an Underweight rating to Parker-Hannifin.



Comparison to Benchmark Index

	MSCI World Industrials	Parker-Hannifin
P/E Ratio Trailing 12 months	25.42	32.36
P/E Forward	22.15	32.38 <- estimated
	MSCI World	Parker-Hannifin
Dividend yield	1.59%	0.79%
Expected return in next 12 months	12.74%	-15.51%
Total expected return in 12 months	14.33%	-14.72%
Alpha	-29.05%	



FCF Projections & Assumptions

Unlevered Free Cash Flow (mm)				1	2	3	4	5
Fiscal Year	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Net Revenue	19,065	19,930	19,850	20,843	21,885	22,979	24,128	25,334
COGS	12,398	12,659	12,448	12,922	13,568	14,132	14,718	15,454
Selling General & Admin Exp.	2,232	2,587	2,354	2,501	2,582	2,643	2,775	2,913
Other Expenses	184	(276)	(183)	(92)	(184)	(153)	(143)	(160)
Total Operating Expenses	14,814	14,970	14,619	15,423	16,151	16,775	17,493	18,367
EBITDA	4,251	4,960	5,231	5,419	5,734	6,204	6,635	6,967
Gain of sale of assets	(363)	(12)	(273)	(216)	(167)	(219)	(201)	(195)
Depreciation & Amort.	800	900	900	867	811	781	723	667
Operating Profit (EBIT)	3,814	4,072	4,604	4,768	5,090	5,642	6,113	6,495
Income Tax Expense	596	750	575	740	789	874	902	995
NOPAT	3,218	3,322	4,029	4,028	4,300	4,769	5,212	5,500
(+) Depreciation & Amortization	800	900	900	867	811	781	723	667
(-) Capital Expenditures	381	400	435	417	390	365	340	317
(-) Change in NWC	(141)	545	305	263	281	311	340	359
Unlevered Free Cash Flow	3,778	3,277	4,189	4,215	4,440	4,873	5,254	5,492
PV of FCF				3,861	3,725	3,745	3,698	3,540

Assumptions				1	2	3	4	5
Fiscal Year	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue Growth	0%	5%	0%	5%	5%	5%	5%	5%
COGS as % of Revenue	65.0%	63.5%	62.7%	62.0%	62.0%	61.5%	61.0%	61.0%
SG&A % of Revenue	11.71%	12.98%	11.86%	12.0%	11.8%	11.5%	11.5%	11.5%
Tax % of EBIT (Effective Tax Rate)	15.6%	18.4%	12.5%	15.5%	15.5%	15.5%	14.7%	15.3%
Change in NWC as % of Nopat	-4.4%	16.4%	7.6%	6.5%	6.5%	6.5%	6.5%	6.5%

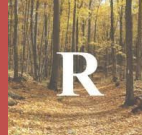
Fixed Asset Schedule

Fixed Assets Schedule				1	2	3	4	5
Fiscal Year	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Beginning PP&E	7,253	6,834	6,799	6,950	6,500	6,079	5,663	5,280
D&A	800	900	900	867	811	781	723	667
CapEx	381	400	435	417	390	365	340	317
Ending PP&E	6,834	6,799	6,950	6,500	6,079	5,663	5,280	4,929

Assumptions	1	2	3	4	5			
Fiscal Year	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
D&A as a % of Beginning PP&E	11%	13%	13%	12%	12%	13%	13%	13%
CapEx as a % of Beginning PP&E	5%	6%	6%	6%	6%	6%	6%	6%

Appendix III

Vishesh Poddar – REI Investment Memo



X

Parker

PV of FCF

Unlevered Free Cash Flow (mm)								
Fiscal Year	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Unlevered Free Cash Flow	3,778	3,277	4,189	4,215	4,440	4,873	5,254	5,492
Projection Year				1	2	3	4	5
Present Value of Free Cash Flow				3,861	3,725	3,745	3,698	3,540

TV & Implied Share Price

Implied Share Price Calculation	
Sum of PV of FCF	15,028
PV of Terminal Value	50,299
Enterprise Value	65,327
(+) Cash	467
(-) Debt	9,177
(-) Minority Interest	9
Equity Value	56,608
Shares Outstanding (mm)	126
Implied Share Price	\$ 449.27
Current Share Price	\$ 908.39
Implied Upside	-51%

Terminal Value Calculation	
Terminal Value Growth Rate	2%
WACC	9.2%
Terminal Value (Gordon Growth)	78,028
PV of Terminal Value	50,299

WACC

Weighted Average Cost of Capital (WACC)	
Total Debt (mm)	9,177
Market Cap (mm)	114,440
Cost of Debt	4.5%
Tax Rate	21.0%
D/(D+E)	7.4%
After Tax Cost of Debt	3.5%
Risk Free Rate (10 Year US Treasury Rate)	4.0%
Equity Risk Premium	4.3%
Levered Beta	1.31
E/(D+E)	92.6%
Cost of Equity	9.6%
WACC	9.2%

Levered Beta Calculation

	Beta (5Y)	Debt/Equity	Unlevered Beta
Carrier Global Corporation	1.31	0.832	0.79
Ingersoll Rand Inc	1.33	0.476	0.97
Dover Corporation	1.3	0.401	0.99
Illinois Tool Works Inc.	1.17	2.787	0.37
Johnson Controls International plc	1.42	0.864	0.84
Trane Technologies plc	1.22	0.553	0.85
Flowserve Corporation	1.31	0.719	0.84
Eaton Corporation plc	1.19	0.597	0.81
Stanley Black & Decker, Inc.	1.2	0.785	0.74
ITT Inc.	1.37	0.405	1.04
Parker-Hannifin	Levered Beta = 1.31		0.82



Comparable Company Analysis

Company	Ticker	Market Data					Financials			Valuation		
		Share Price	Shares Outstanding (mm)	Equity Value	Net Debt	Enterprise Value	Revenue	EBITDA	Net Income	EV/Revenue	EV/EBITDA	P/E
Parker-Hannifin Corporation	PH	928.76	126	117,210	9,860	127,070	20,030	5,207	3,641	6.3x	24.4x	32.2x
Carrier Global Corporation	CARR	54	842	45,058	10,917	55,975	22,058	3,650	3,982	2.5x	15.3x	11.3x
Ingersoll Rand Inc	IR	83	395	32,963	3,660	36,623	7,458	1,971	545	4.9x	18.6x	60.5x
Dover Corporation	DOV	204	137	27,920	1,518	29,438	7,923	1,765	2,248	3.7x	16.7x	12.4x
Illinois Tool Works Inc.	ITW	254	290	73,729	8,018	81,747	15,883	4,593	3,026	5.1x	17.8x	24.4x
Johnson Controls International plc	JCI	114	611	69,635	10,811	80,446	23,596	3,837	3,291	3.4x	21.0x	21.2x
Trane Technologies plc	TT	381	222	84,490	3,490	87,980	21,051	4,207	2,932	4.2x	20.9x	28.8x
Flowserve Corporation	FLS	73	127	9,253	837	10,090	4,687	684	453	2.2x	14.8x	20.4x
Eaton Corporation plc	ETN	333	388	129,326	10,702	140,028	26,633	6,116	3,926	5.3x	22.9x	32.9x
Stanley Black & Decker, Inc.	SWK	81	155	12,510	6,782	19,292	15,166	1,492	439	1.3x	12.9x	28.5x
ITT Inc.	ITT	180	86	15,478	567	16,045	3,814	815	482	4.2x	19.7x	32.1x
High										5.3x	22.9x	60.5x
75th Percentile										4.7x	20.6x	31.3x
Average										3.7x	18.1x	27.3x
Median										3.9x	18.2x	26.4x
25th Percentile										2.8x	15.7x	20.6x
Low										1.3x	12.9x	11.3x
Parker Hannifin Corp. Valuation										EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value (using 75th percentile)										94,835	107,290	123,840
Net Debt										9,860	9,860	9,860
Implied Market Value										84,975	97,430	113,980
Shares Outstanding										126	126	126
Implied Value Per Share										673.33	772.03	903.17

Final Target Price

Method	Target price	Weightage
DCF	\$449.27	10%
EV/Revenue	\$673.33	25%
EV/EBITDA	\$772.03	25%
P/E	\$903.17	40%
Final Target Price	\$767.54	100%
Implied upside	-16%	